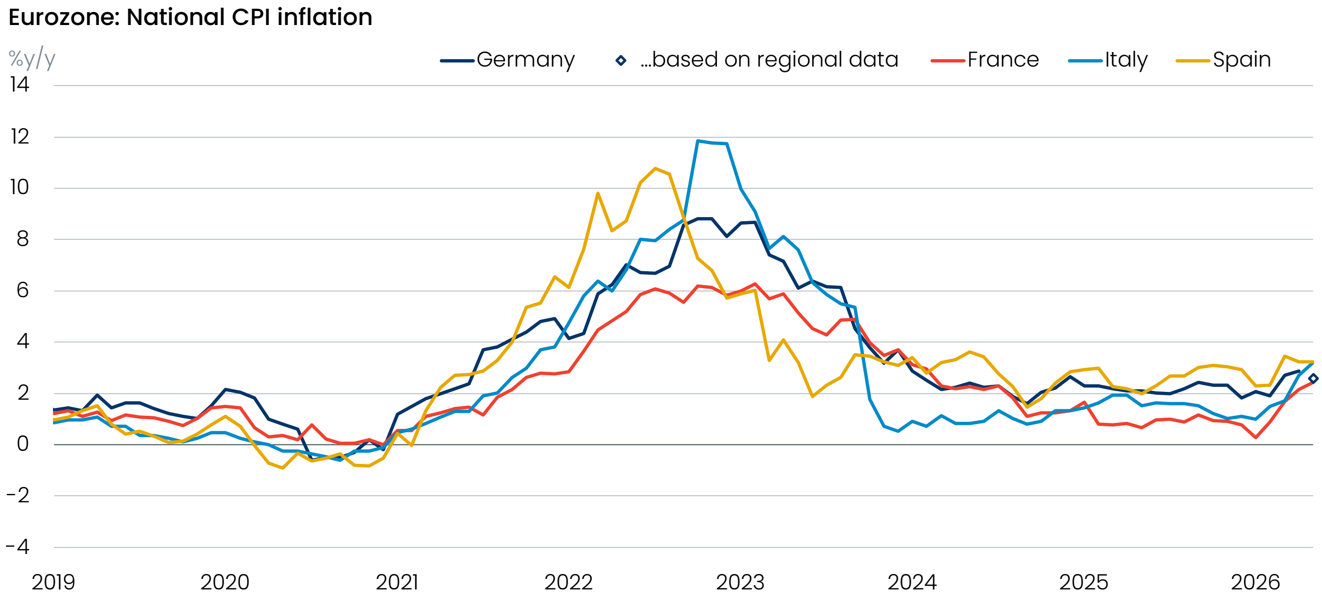
Inflation likely remained above 3% in May

- **The initial inflation figures for the major eurozone economies suggest inflation saw no major moves in May. Lower inflation in Germany, driven by a cut in fuel taxes, was offset by an acceleration in Italy and a modest uptick in France. Some easing in global oil prices also likely helped limit the increase in pump prices, while the transmission of the oil shock to core prices appears contained so far.**
- **This still means that eurozone inflation is likely to edge up by 0.1ppt to 3.1% in May, a level still too far above the ECB's 2% target and one that leaves little doubt, in our view, that the central bank will hike rates in June.**
- **Meanwhile, goods consumption posted a visible decline in France in April, echoing the fall in Spain's retail sales and offering early evidence of the negative impact we expect the Iran conflict to have on consumer spending.**

Today's national inflation releases cover the four largest eurozone economies for the month of May and outturns were highly mixed. In France, inflation accelerated modestly to 2.4% y/y in May, from 2.2% in April and somewhat below our expectations. The increase was mostly due to the 15% increase in regulated gas prices that took effect this month, while pump prices were slightly lower than in April as global oil prices declined somewhat and most gas stations continued to cap the transmission to consumers. Services inflation also rose by 0.2ppts compared to April, likely driven by transport prices. The transmission of the energy inflation shock to other components appears moderate at this stage, however, as inflation for food and manufactured products was unchanged compared to April.

Chart 1: Inflation outturns were mixed, with no major acceleration outside Italy



Sources: Oxford Economics, Haver Analytics

In Italy, inflation accelerated to 3.2% y/y in May, up from 2.7% in April, with energy prices accounting for most of the increase, while food inflation remained stable. Core inflation also inched up, to 1.8% from 1.6% in April, again largely

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due to transport, although other services categories not directly related to energy also saw price growth accelerate. Italy's inflation increase was substantially more pronounced than in other major eurozone economies in May, consistent with the view that the country may be more exposed to the Iran conflict because of its high reliance on natural gas.

In Spain, headline inflation was stable at 3.2% y/y in May, also coming in a tad lower than our forecast. The core index accelerated marginally to 2.9%, up from 2.8% in April. This points to slightly lower energy inflation, likely reflecting, as in France, a small decline in pump prices from April's highs.

Finally, Germany's state-level data suggests national inflation should edge down to 2.6% in May when it is released later today, a minor slowdown compared to 2.9% in April. Core inflation likely edged up 0.2ppt to 2.5% as services inflation rose driven by a rebound in package holidays, while energy probably fell to 5.3% y/y as heating oil and transport fuel prices declined with the latter being supported by a temporary energy tax reduction

Overall, the initial May inflation figures for the major eurozone economies suggest that inflation saw no major moves from April. Global oil prices have edged lower, while the transmission of the energy shock to the rest of the economy appears contained so far. National data suggest eurozone inflation is likely to edge up by 0.1ppt to 3.1% in May, a level still too far above the ECB's 2% target. Given elevated inflation and the recent hawkish signals from the Governing Council, we think there is little doubt that the central bank will hike rates in June.

On the activity side, in France, monthly consumption of goods fell by 0.5% m/m in April, offering a first look at the potential impact of the Iran conflict on Q2 activity and echoing poor retail sales data in Spain published yesterday. The decline in spending was relatively broad-based, with all goods categories seeing lower consumption except non-durable goods. Energy consumption posted the strongest decline, at -2.9%, reflecting lower spending on both oil products and electricity, while spending on durable goods also showed a visible inflection, falling by 0.5% m/m. The fall is a tad more pronounced than what we had been expecting, adding to the downside risks facing our forecast. We think the weakness in France and Spain could signal that consumer spending across the region may be softer this quarter than previously assumed and a contraction cannot be excluded.

Meanwhile, France's GDP figures were revised down in Q1, with growth now slightly negative at -0.1%, compared to the stagnation suggested by the first estimate. This was mostly due to private consumption declining by more than initially anticipated. Rapidly deteriorating surveys, especially in services, mean France is at risk of entering a technical recession in Q2, with our forecast of GDP stagnation this quarter surrounded by growing downside risks.

In Germany, the unemployment rate inched down to 6.3% in May, erasing April's 0.1ppt increase, with the number of unemployed persons also declining slightly compared to the previous month. This latest data point offers tentative support to our view that the labour market should remain broadly resilient to the Iran shock, with Germany's unemployment rate continuing to gradually decrease over the rest of the year.